

Entering Russia.

A practical briefing for international brands: how the market works, how products reach the shopper, what it really costs, and the questions to answer before you invest.

Who this is for

Export and business development managers at brands that are considering Russia, or have started and are not happy with how it is going.

This briefing is written from the brand side. It does not try to sell you the market. Russia can be a very good market for the right product at the right price, and an expensive mistake for the wrong one. The goal is to help you tell the difference early.

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Figures in this briefing are indicative and change often. Where a number depends on your category, it is given as a range. Always check current rules for your specific product before making a decision.

The market in one page

A large, urban, price-aware consumer market where online marketplaces have become the default place to shop for many categories.

Size and shape

- Around 146 million people (Rosstat estimate for 2025), most of them in cities west of the Urals.
- Moscow and St Petersburg carry a disproportionate share of spending, but regional cities are where growth and competition are less crowded.
- Shoppers compare prices constantly. A brand without a clear reason to cost more will be pushed to the lowest price in its category.

What changed since 2022

- Many Western brands left or scaled down. Shelf space and consumer attention opened up for brands from Asia, the Middle East, Turkey and others.
- Parallel imports allowed some brands to stay on shelves without the brand owner's involvement. Your product may already be there.

Marketplaces

- Wildberries, Ozon and Yandex Market dominate online retail. For many categories they are now the first place shoppers look.
- Price transparency is extreme. Every distributor and retailer sees your marketplace price, so it becomes your price everywhere.

Offline retail

- Federal chains in each category (electronics, grocery, beauty, DIY) still decide a large part of volume and visibility.
- Chains usually work through distributors, not directly with a foreign brand, until the brand reaches meaningful volume.

Takeaway: your marketplace strategy and your distributor strategy are the same strategy. Plan them together.

How products reach the shopper

CHANNEL	HOW IT WORKS	GOOD FOR	WATCH OUT FOR
National distributor	Imports, holds stock, sells to chains, regional dealers and marketplaces.	Fast coverage, one contract, one payment.	They carry many brands. Yours has to earn attention.
Regional distributors	Cover a region or a group of regions.	Regions the national players under-serve.	Price conflicts between regions and online.
Federal retail chains	Buy from distributors or directly, with listing fees and marketing budgets.	Visibility, brand building, volume.	Entry costs, promo calendars, return terms.
Marketplaces	Wildberries, Ozon, Yandex Market. Sold by a local seller or by the brand's own entity.	Testing demand, reach across the country, fast data.	Price wars, grey sellers, heavy promo pressure.
Specialist retail	Carrier stores for electronics, pharmacies, beauty chains, pro and B2B channels.	Categories where advice and trust matter.	Narrow reach, specific requirements.
B2B / corporate	Tenders, corporate gifts, HoReCa, industrial buyers.	Components, equipment, professional products.	Long cycles, relationship-driven.

Most brands end up with a mix: one main distributor, a clear marketplace plan, and one or two chains where the brand needs to be seen.

Entry models compared

MODEL	CONTROL	COST AND EFFORT	SPEED	WHEN IT FITS
One exclusive distributor	Medium	Low	Fast	You need coverage quickly and have a partner with a proven record in your category.
Several non-exclusive distributors	Low	Low	Fast	Commodity products. Risky for brands: price control is hard.
Distributor + your own marketplace presence	High online, medium offline	Medium	Medium	You want to own the brand's image and price online.
Marketplace first, through a local seller	Medium	Low	Fast	Testing demand before committing to a distributor.
Own local entity	Full	High	Slow	Proven demand, long-term commitment, meaningful volume.

How to choose

- **Start with the question you need answered.** "Is there demand?" is a marketplace test. "Can we get national coverage?" is a distributor question.
- **Exclusivity is a price, not a gift.** Give it only in exchange for volume commitments, and keep a way out.
- **Decide who owns the online price** before anyone ships. It will affect every other conversation.

The price walk: factory to shelf

The most common reason entries fail is simple: at the brand's price, nobody in the chain makes enough money.

An **illustrative** example for a consumer product with an ex-works price of \$10. Your numbers will differ by category, route and partner.

STEP	WHAT IS ADDED	RUNNING PRICE
Ex-works price	Your factory price	\$10.00
Freight and insurance	Roughly 5–25% of value, higher for bulky, low-priced goods	\$11.00
Import duty	From 0% to 20% and more, set by your HS code in the EAEU customs tariff	\$11.90
Import VAT	22% standard rate since 1 January 2026 (10% for some essential goods)	\$14.52
Customs, certification, logistics in Russia	Broker, warehouse, delivery	\$15.30
Distributor margin	Usually 10–30%	\$19.10
Retail markup or marketplace costs	Retail markup from 10–30% (electronics) to 30–100% (beauty). On marketplaces, commission, logistics and ads together often take 25–35% of the price, more in some categories	\$23–30

Rule of thumb: expect a shelf price of roughly 2.3 to 3 times your ex-works price. If that shelf price does not beat or clearly justify itself against competitors already on the shelf, fix the price or the product before you look for partners.

Costs brands forget

- Marketing funds the distributor and the chain expect, often a percentage of sell-in.
- Listing fees and promo participation in chains.
- Marketplace advertising, which has become close to mandatory in competitive categories.
- Returns, defective stock and price protection when you lower prices.

Certification, labelling and marking

Paperwork is rarely a reason not to enter. It is often a reason the first shipment is late.

Conformity: EAEU technical regulations

- Most consumer products need either a **declaration of conformity** or a **certificate of conformity** under the technical regulations of the Eurasian Economic Union (EAEU).
- Which one depends on your product. Electronics, toys, cosmetics, food and textiles all have their own regulations.
- Documents are issued through accredited bodies and are usually registered to a local applicant, often your importer. Think about who holds them if you change partner.

Mandatory digital marking

- A growing list of categories requires every unit to carry a digital code in the national track-and-trace system, "Chestny Znak".
- If your category is on the list, codes must be applied before goods are sold. Plan who orders and prints them.

Labelling

- Product information in Russian: name, composition or specifications, manufacturer, importer, conformity mark, date and warnings where required.
- Stickers are usually acceptable at the start; printed Russian packaging looks more serious to chains.

Do this first: find your HS code and the technical regulations that apply to it. Everything else in the timeline follows from that.

Your trademark comes first

Russia is a first-to-file country. Whoever registers your brand name first owns it there.

Why this matters

- A distributor, or anyone else, can register your trademark in their own name. From then on, they can block your imports and your next partner.
- Getting a trademark back through the courts is slow and expensive. Registering it yourself costs a fraction of that.

What to do

1. Search the Rospatent database for your brand name and similar marks before any talks.
2. Register in your own company's name, either nationally or by designating Russia under the Madrid system.
3. Cover the classes you sell in now and the ones you plan to.
4. Write into every distribution contract that the trademark and any local registrations belong to you.

Parallel imports

Since 2022 certain brands can be imported without the owner's consent under a government list. In 2026 the list became brand-based, tied to trademarks registered with Rospatent, and it is shrinking: in May 2026 several major electronics brands were removed, with more cuts planned where local production exists. If your brand is on the list, or your product is already sold by grey importers, factor that into your price and channel plan. Check the current list before you decide.

Choosing and checking a distributor

The partner you choose matters more than the market you enter.

Public checks anyone can do

- **Company registry** (EGRUL): age, owners, directors, related companies, registered address.
- **Arbitration courts** (kad.arbitr.ru): who sues them and why. Unpaid suppliers are a red flag.
- **Financial statements** (bo.nalog.ru): revenue, profit, debt for recent years.
- **Marketplaces**: their seller pages, which brands they carry, at what prices.
- **Rospatent**: whether they hold trademarks of foreign brands in their own name.

Questions to ask them

- Which brands in our category do you carry now? Which did you lose, and why?
- Which chains and marketplaces do you ship to directly?
- What will you invest in our launch, in money and people?
- What sell-out data will you share, and how often?
- What volume will you commit to in year one?

Red flags

- Asks for exclusivity for the whole country with no volume commitment.
- Wants to register your trademark or certificates "to make things easier".
- Carries a direct competitor and says it is not a problem.
- Revenue that is too small for the coverage they promise.
- Vague answers about who they actually sell to.

Contract terms that matter

Your lawyer checks the contract. These are the commercial points to decide before it reaches them.

TERM	WHAT TO AIM FOR
Exclusivity	Limited by channel or region, tied to annual volume targets, with the right to end it if targets are missed.
Pricing	A recommended retail price and a clear policy for marketplaces. Agree how price deviations are handled. Check local competition rules with your lawyer before fixing anything in writing.
Marketing funds	A fixed budget or percentage, spent on an agreed plan, with proof of execution.
Data	Monthly sell-in, sell-out and stock reports by channel.
Payment	Prepayment or secured terms at the start. Agree the payment route with your bank before signing.
Trademark and documents	Trademark belongs to you. Certificates and marking set up so they can move to a new partner.
Termination	A clear exit: notice period, what happens to stock, who takes over marketplace listings.

Plan the exit on day one. The best time to agree how a partnership ends is before it starts.

Ten common mistakes

1. **Setting the price in the head office.** Without a price walk, the shelf price is a guess.
2. **Giving national exclusivity for a promise.** Promises are not volume.
3. **Not registering the trademark first.** The most expensive paperwork is the paperwork you skipped.
4. **Ignoring the marketplaces.** They set your price even if you don't sell there.
5. **Letting several partners fight on price online.** The brand loses every time.
6. **No budget for marketing.** Distributors expect support. Without it, your brand waits at the back of their price list.
7. **Underestimating certification time.** The container arrives before the documents.
8. **Choosing the partner who replied first.** The best partners are often the slowest to answer.
9. **No sell-out data.** If you only see your own shipments, you will learn about problems too late.
10. **Managing the market from far away with no one on the ground.** Small problems grow when nobody calls.

Questions to answer before investing

01 Who already sells products like ours in Russia, and at what shelf prices?

02 Does our price walk land us inside that range, with margin for every partner?

03 Is our product already there through grey imports?

04 Is our trademark free, and have we filed it in our own name?

05 Which conformity documents and marking does our HS code require?

06 Which channel answers our first question best: marketplace or distributor?

07 Who will own our marketplace price?

08 What will we give a partner, and what will we ask in return?

09 How much can we spend on marketing in year one?

10 How will we get paid, and has our bank confirmed the route?

11 What sell-out data will we receive, and how often?

12 Who in our company, or on our side in Russia, will manage the market week to week?

13 What does success look like after 12 months, in units and in money?

14 At what point would we stop?

NEXT STEP

If you can't answer half of these yet, that's normal.

That is exactly where a market-entry plan starts. Send a short brief with your product, your price and your questions. You get a written plan and a fixed price within 2 business days.

Write to

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